

DISPUTE RESOLUTION

REVISION NOTES

SQE1 Materials



BRIGITTE'S PUBLISHING

ONE-PAGE EXAM OVERVIEW

PROCEDURE TIMELINE:

1. Pre-action
2. **Claim form**
2. **Particulars of Claim**
2. **Acknowledgement of Service**
3. Admissions
4. **Defence**
5. Notice of proposed allocation
6. Directions Questionnaire
7. Allocation
8. Case and costs management conference
9. Instruct experts
10. Disclosure and inspection
11. Exchange witness statements
12. Exchange experts' reports
13. Preparation for trial
14. Trial
15. Appeals
16. Enforcement

KEY RULES:

CPR 1.1 Overriding objective: all cases must be dealt with justly and proportionately.

Who pays costs?

CPR 44.2(2)(a) Unsuccessful party pays successful party's costs

Judgment in default:

CPR 12.1 C may apply if D did not file AoS or defence within time limits.

Summary judgment:

The court decides the claim or issue without a full trial.

Grounds: CPR 24.2

1. C/D has no real prospect of succeeding on claim/issue
2. No other compelling reason why case should be disposed of at trial

Security for costs:

D applies if they have a reason to believe that C **cannot** pay for the costs of the case.

WHICH COURT?

If value of claim is less than £100,000 – County Court.

£100,000 or more – client may choose: County Court or High Court.

If there is a choice – **factors:**

- (1) Over £100,000 by much?
- (2) Complexity
- (3) Importance to the public

KEY DEADLINES:

C must serve **Claim Form** within **4 months** of issue.

File **Certificate of service** within **21 days** of service of the Claim Form.

Serve **Particulars of Claim** with the Claim Form.

If served separately: serve within **14 days** after Claim Form served.

Defendant to file **AoS** within **14 days** after PoC.

If D did not acknowledge service:

File and serve the **Defence** within **14 days** after PoC.

If D acknowledged service:

D must file and serve the **Defence** within **28 days** after PoC.

TIME EXTENSION:

In time application:

- * Applicant's reason the delay
- * Delay in making the application?
- * Overriding objective
- * Will it cause disruption?

Out of time application:

CPR 3.9(1) Apply for relief from sanctions.

Denton Relief will be granted if:

1. Breach is **not serious/significant**
2. **Legitimate reason** for breach
3. **Other circumstances** suggest relief should be allowed

DISCLOSURE:

Standard disclosure:

1. Is it a document?
2. Was it in client's control?
3. Test of standard disclosure:
 - (i) Reliance documents
 - (ii) Docs adversely affecting their own case/other party's case
 - (iii) Docs supporting the other party's case

Inspection: *Can be withheld if privileged*

Types of privilege:

- **Legal advice** – docs prepared to give legal advice
- **Litigation** – prepared for litigation
- **'Without prejudice'** – prepared to settle

COUNTING TIME:

Claim form:

Method	Relevant Step CPR 7.5(1)
First class post	Post
Delivery/leaving at address	Delivered or left at address
Personal service	Leave with individual/company
Email	Email sent

CPR 6.14 Deemed served on 2nd business day after the relevant step.

Other documents:

Method of service	Deemed served CPR 6.26
First class post	2nd business day after posting
Delivery or leaving at address	If served before 4.30pm on a business day, same day, if not, next business day.
Personal service	
Electronic service	

Counting time:

- * **Days = 'clear days'** not incl. first day. If last day ends with a hearing, then add 1 day.
- * **If the period is 5 days or less**, do **not** include weekends and bank holidays.
- * **If the period is more than 5 days**, include weekends and bank holidays.

PART 36 OFFERS:

Claimant's offer, Defendant rejects:

Claimant wins same/more: CPR 36.17(1)(b)

D pays: Damages + own costs + all of C's costs until trial + **Penalty**

Claimant wins less:

D pays: Damages + own costs + all of C's costs until trial.

Claimant loses:

C pays: Own costs

D pays: all of C's costs until trial.

Defendant's offer, Claimant rejects:

Claimant wins same/less: CPR 36.17(1)(a)

C pays: Own costs + **'Split costs'** order

Claimant wins more:

D pays: Damages + own costs + all of C's costs until trial.

Claimant loses:

C pays: C pays D's costs + Interest on D's costs (from relevant period expiry to trial) + **Penalty**

ALLOCATION:

Small claims track: £10,000 or less

Fast track:

£10,000 - £25,000
Trial will be less than 5 hours and only 1 expert per party.

Intermediate track:

£25,000 - £100,000
Simple claims

Multi-Track:

Everything else

ENFORCEMENT:

If debtor has **goods/vehicles** – rely on a taking control of goods order.

If there is credit in **bank account** – use a third party debt order.

For **land/shares** – use a charging order.

For a **salary** – use a attachment of earnings order.

If **all else fails** – bankruptcy/ insolvency proceedings.

WITNESS EVIDENCE:

Witness's evidence is false:

- * **CCS 1.4** You must **not** deceive/ mislead the court, not aid the witness in lying.
- * **Cease to act, unless client agrees to disclose truth to court.**

Inconsistency in witness's story:

- * **Immediately inform court with client's consent.**
- * If client doesn't consent, **cease to act.**

Mandatory injunctions:

Requires the other side to do a specific act.

Prohibitory injunctions:

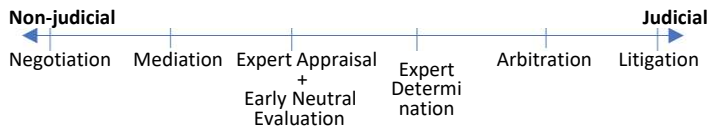
Requires the other side to refrain from doing an act.

Dispute Resolution:
ADR + Civil litigation

ALL THE KEY INFORMATION ON ONE PAGE

METHODS OF DISPUTE RESOLUTION

MAIN METHODS:



In the UK, there are four main processes for resolving disputes:

- * Litigation
- * Negotiation
- * Arbitration
- * Mediation

Negotiation, arbitration, and mediation are all alternative dispute resolution procedures (ADR) which means alternative to litigation.

Other types of alternative dispute resolution:

Early neutral evaluation = Independent evaluator meets with parties to assess dispute. Non-binding and confidential.

Expert appraisal = Parties appoint independent expert on subject matter. Non-binding decision.

Expert determination = Parties appoint independent expert on subject matter. It is binding, but cannot make a costs order.

Mediation = Parties appoint an independent, trained mediator who sits in the room with parties and facilitates agreement between them.

Negotiation through solicitors = Solicitor to solicitor negotiation typically through correspondence but could be via roundtable meeting(s).

Collaborative law = This involves a series of 4-way meetings with the parties and collaborative trained solicitors who are facilitating agreement.

LITIGATION:

Legal action that will proceed through the court system. Litigation requires the parties to comply with the **formal rules** surrounding procedures and evidence. The judge is the one making the final decision over the dispute.

NEGOTIATION:

Informal discussions that take place between the parties to resolve the dispute. This may take place at any time and the parties resolve their own dispute by **agreement**.

- Any correspondence and discussions that is part of the negotiation may be marked 'without prejudice'.
- Without prejudice communications** = discussions which cannot be relied on/referred to in court.
- The parties may also hold **round-table discussions** where the parties and their representatives try to settle the dispute after they have disclosed all witness statements and evidence.

Commonly used for all types of civil matters, including litigation (tort or breach of contract), personal injury, professional negligence and family law matters.

ARBITRATION:

Semi-formal procedure similar to litigation, however, the final decision is made by a neutral third party (the arbitrator) that resolves dispute by granting a final award.

- The parties may decide on the procedures to use.
- The formal rules on evidence such as seen in litigation do not apply.
- The parties are **contractually bound** to comply with the award and the award is as binding as litigation. However, it is not binding on third parties.
- Just as contentious and adversarial as court proceedings.

PROS	CONS
* Can choose arbitrator, but not the judge in case of litigation. Might choose a specialist. * Can choose where arbitration takes place, choose the mechanism of the process. * Private hearings – sign NDAs. * Final and binding unlike court appeals procedure. * New York Convention ensures decision is enforced abroad.	* Slow but may speed it up by changing process mechanisms. * No precedent value. * Can be expensive as parties pay for arbitrator + premises. * Powers are more limited than that of the court. * Not as effective for interim applications.

Private hearings:

While there is third party involvement with arbitration, the only third party is the arbitrator, it is generally private and there is no reporting of the matter (unlike litigation).

Arbitration clauses:

Typically, an **arbitration clause** within a contract is the common method by which parties agree to resolve their disputes through arbitration. The arbitration clause is agreed upon when the contract is formed, and it usually outlines the rules, the seat of arbitration, and sometimes the appointing body or specific arbitrators.

However, parties **can agree to arbitrate a dispute even without a pre-existing arbitration clause** in their contract. This can be done by entering into a **separate arbitration agreement** after a dispute has arisen.

MEDIATION/CONCILIATION:

Informal dispute resolution process where the decision is made by the parties with the assistance of a **neutral third party** (the mediator) without looking at the merits of the case. – **commonly used for family proceedings**.

The **mediator** is independent and trained but must remain neutral throughout the proceedings.

Confidentiality:

The mediation process is **confidential** and without prejudice.

Process:

- The process of mediation includes sessions held with each party separately and joint sessions at a later stage. The procedure is structure with a set number of sessions required.
- Parties can discuss and resolve anything they wish. – **eg. even hurt feelings, and could request an apology.**
- The parties come to a solution themselves and result of mediation is **non-binding** on the parties. As a result, the parties must sign an agreement to have a binding decision.
- Any decision that is made during mediation is final and cannot be appealed.
- If mediation does not lead to settlement, the mediator could invite the parties to pursue mediation again at a later stage.

PROS	CONS
* Cheaper + quicker than litigation * Promotes an amicable solution, preserves commercial relationship * If ends in a consent order, becomes enforceable * Confidential so allows for private discussions. * Without prejudice so it is not admissible in court if parties decide to make a claim. * Allows for creative solutions.	* Solution is not imposed on either party, may waste time and money. * Although commercial resolution, may not be legally correct. Injustice to one party. * Only effective if both parties genuinely intend to resolve * Flexible, may leave if not going as expected.

Conciliation:

- * The conciliation procedure is very similar to mediation with a few differences between the two procedures.
- * Instead of a mediator, the conciliation is led by the conciliator who will have a **more active role** in **suggesting solutions** to the parties and they can also advise the parties in relation to the dispute including both **matters of fact and law** they may also provide recommendations as to how to resolve the issue.

- * The **procedure is more flexible** to suit the parties.

In practice, the terms mediation and conciliation are sometimes used interchangeably, and the distinction is subtle.

If the parties are unsure as to the outcome they require and need more guidance, conciliation may be more suitable.

DUTY TO ENCOURAGE:

Duty to encourage clients to attend ADR:

The Court of Appeal has made a direction directed towards legal professionals to **encourage clients to try ADR** prior to taking legal action.

Even though **ADR is not required** prior to commencing litigation, clients should consider it. – ADR is a voluntary process, and the parties must consent to it before it can go ahead.

The court has a duty to – ensure that all cases are dealt with justly, fairly, and proportionately (the **overriding objective**) and considering/attempting ADR may achieve this.

Legal professionals have a duty to – tell their clients about their option to attempt ADR instead of/before litigation

Parties have a duty to – consider whether ADR would be appropriate throughout the proceedings.

If the parties fail to consider/participate ADR, they might not be able to recover the costs of the proceedings (at all or in part).

Unreasonable refusal to engage in ADR:

When the parties receive a request for ADR, they must respond to it and if they refuse ADR, they must set out the reasons for why they consider that ADR would be inappropriate in this case.

If the court believes that refusal was unreasonable or the party ignored the request for ADR completely, **they may penalise the party** refusing it **in respect of payment/recovery of legal costs** depending on whether the outcome of their claim is successful.

INTRODUCTION TO LITIGATION

PROCEDURE TIMELINE:

Interim applications and ADR	May begin from before the claim form is filed until the start of trial. – CPR 23-25	
Settlement and Part 36 offers	May be made from commencement up until the start of trial.	
PRE-ACTION	* Interview Claimant client * Claimant sends Letter of Claim * Consider ADR * Defendant sends Letter of Response	14 days from Letter of Claim
MAKING A CLAIM	* Issue Claim form * Serve Claim form on Defendant – CPR 7.5 * Serve Particulars of Claim (PoC) with Claim form or separately * File Certificate of Service	4 months from issue date 14 days from Claim form 21 days from Claim form
DEFENDANT RESPONSE	* File Acknowledgement of Service * File Defence and Counterclaim	14 days from PoC 28 days from PoC
MANAGING THE CASE	* Notice of Proposed Allocation – CPR 26.4 * Directions Questionnaire * Allocation hearing * Case and Cost management conference	
CLAIMANT REPLY	* Reply to Defence and Counterclaim – CPR 15.8	
EVIDENCE	* Instruct experts * Disclosure and inspection * Parties exchange witness statements – CPR 32 * Parties exchange expert reports – CPR 35	
PRE-TRIAL	* Court sends Pre-trial checklist * Pre-trial hearing * Claimant files trial bundles * Prepare skeleton arguments and list of authorities * Consider Notice to admit facts * Prepare a case summary * Summon reluctant witnesses * Prepare Brief to counsel	14 days pre-trial 3 days pre-trial
TRIAL	* Opening statements * Call evidence * Closing submissions * Judgment * Costs hearing	
POST-TRIAL	* Appeals – CPR 52 * Enforce judgment – CPR 70	

GLOSSARY:

Parties:

Parties to litigation:

Claimant = person making the claim.

Defendant = person defending the claim made against them.

Parties to interim applications:

Applicant = person making the application.

Respondent = person defending the application made against them.

Litigation documents:

Letter of Claim (Letter Before Action) = a **letter** sent by a potential Claimant to a potential Defendant setting out the details of the claim **before they file the Claim form**.

Claim form = the form a **Claimant** must fill in, file with the court and serve it on all the parties to **start litigation**. There are various different types of claim forms and the Claimant must select the most appropriate form.

Particulars of Claim = when starting litigation, the Claimant will also send out a Particular of Claim **either with the Claim Form or separately**. This document is a statement of case that **details the Claimant's case** and identifies all the relevant issues. The court will read this document to understand what the claim is about.

Certificate of service = the Claimant may fill in and file a Certificate of service that will **inform the court** who the Claimant served the Particulars of Claim and Claim form on.

Acknowledgement of Service = the Defendant may decide to file an Acknowledgement of Service with the court, to **extend the 14-day deadline for filing the Defence**. If they do file an Acknowledgement of Service, their deadline will be extended **to 28 days**, and this essentially serves as a notice to the Claimant that the Defendant has received the Particulars of Claim and is now preparing its defence.

Defence = a statement of case **filed by the Defendant in response** to the Particulars of Claim, essentially defending the claim. In some cases, a Defence will also contain a counterclaim.

Reply = a **non-essential** statement of case. The Claimant may decide to respond to the Defence and file their Reply, however, this is not a compulsory.

PRE-ACTION CONSIDERATIONS:

Before commencing proceedings, the claimant must consider a number of different questions. This will help the claimant **identify what is the best direction to take** with the claim and whether it is worth bringing a claim in the first place.

Pre-action considerations to take into account:

1. Which **jurisdiction** is the appropriate place to bring the claim?
2. If the correct jurisdiction is England and Wales, which court is the **correct court** for bringing the claim?
3. Whether both the claimant and the defendant have **legal capacity**.
4. Whether the claim can be brought within the **limitation period**.
5. Whether there is a valid cause of action to **bring the claim**.

LEGAL CAPACITY OF BOTH PARTIES:

There can be no claim without a Claimant **capable of making a claim** and a party **capable of being a Defendant**.

Please note that the words "claimant" and "defendant" are only capitalised to help you memorise the rules relating to them. In practice, these words are not capitalised.

Make sure to identify who the Claimant and Defendant is in your question.

Mental capacity:

CPR 21 Children under 18 or a party who lacks mental capacity to conduct litigation (a protected party) **must have a litigation friend** to bring a claim.

Incorporated bodies:

- * **Companies** may bring a claim as they are legal persons under the Companies Act 2006.
- * **Limited Liability Partnerships (LLPs)** may also bring a claim.
- * **Sole traders** can be sued in their trading name but they cannot use their trading name when bringing a claim.

LIMITATION PERIODS:

There are set limitation periods for different types of claims within which the claim must be brought.

If a Claimant goes ahead and commences legal action after the expiry of the limitation period, the Defendant can raise the fact that the **limitation period has passed as a defence**.

CONTRACT	TORT
6 years from the breach of contract , not from when the contract was signed. – eg. did not satisfy obligations.	6 years from cause of action date (when the tortious act occurred) even if the Claimant was unaware of the breach and/or any damages occurred later. – eg. date of poor advice, not date of retainer.

Tort – limitation periods:

General rule: tort claims must be brought within 6 years from the **cause of action** date (when the tortious act occurred/accrual date) even if unaware of breach and damages occurred later.

If the tort was not yet apparent on the accrual date:

Then **6 years** from when the Claimant **gained knowledge** of the tort and knowledge of who caused the tort.

If the claim is a personal injury claim:

The claim must be brought within **3 years** from the **accrual date/knowledge**.

If the victim died because of the tort within 3 years of the accrual date, the claim must be brought within:

1. **3 years** from the date of death
OR
2. **3 years** from when the personal representatives of the deceased gained knowledge of the tort.

If the claim is a negligence claim for latent defects in property due to a fault in design/materials/workmanship that existed at the time when construction of the property/item was completed but was no apparent at completion – **the claim can be brought up until** (whichever is later):

1. **6 years** from accrual of the action
OR
2. **3 years** from the earliest date on which the Claimant knew or ought to have known the material facts necessary to bring a negligence action

There is a **longstop date of 15 years** – no action can be brought after more than 15 years after the act/omission alleged to have caused the damage.

Contract – limitation periods:

General rule: contract claims must be brought within 6 years from the **date of the breach**.

For claims in relation to construction contracts: there is a **shorter limitation period** allowing the party in breach to **‘make good’ any defects** in the building, however this does not prevent the party that suffered a loss to make a **simple contract claim within** the usual **6-year** period. – The shorter period (which will be set out in the contract) will only apply to the requirement to ‘make good’ the defects. – **Look out for ‘make good’ clauses in the contract.**

Other rules on limitation periods:

Time for the limitation period will **stop running** once the Claimant delivers the correctly completed claim form and the correct fee to the court, **issuing proceedings**.

If the Defendant has been correctly identified, but their name is incorrect, it is possible to change their name even if the limitation period expired.

If the Claimant is a minor:

The limitation period runs from the **Claimant’s 18th birthday**.

If the Claimant lacks mental capacity at the accrual date:

The limitation period runs from when the Claimant produces a **certificate that they are of sound mind**.

If the Claimant loses mental capacity after the accrual date:

The limitation period **stops running** from when the Claimant **loses capacity**.

For cases of fraud/concealment:

The limitation period runs from then the Claimant discovers/reasonably should have discovered the fraud/concealment.

CAUSE OF ACTION IN TORT AND CONTRACT:

Claim concurrent duties (sue for **both tort and contract**) and if limitation period is tight, one claim might still fall within the period.

Tort – Cause of action structure:

1. **Duty of care:** Reasonably competent advice from reasonably competent solicitor. – **If you have a lawyer who gave negligent legal advice, sue the lawyer in tort and the LLP for breach of contract** (LLP has deeper pockets and possibly insurance so they are more likely to be able to pay compensation).
2. **Breach:** Did the Defendant breach their duty? – eg. What was the solicitor’s specialism? Would a similarly qualified property lawyer advise differently? Would a reasonable lawyer have caveated their advice?

3. **Causation:** Did the defendant’s breach cause the Claimant’s loss? – eg. Did the solicitor’s breach cause the loss suffered? Did X rely on this advice? What would X have done if caveated advice? Is there a chance that they would have acted differently?

4. **Remoteness:** Was the damage suffered reasonably foreseeable?

5. **Loss suffered:** Must be foreseeable not too remote.

6. **Damages:**

Measure of damages:

1. Put the Claimant back in the position had the tort not occurred. Be wary of remote damages and contributory negligence.
2. **Contributory negligence:** if the loss has been partly caused by the Claimant’s own negligence – damages received by the Claimant will be reduced.

7. **Remedies**

Contract – Cause of action structure:

1. **Duty:** The duties of both parties is set out in the contract governing the parties’ relationship. – **Look at any express and implied terms.**

Implied terms:

s.13 Supply of Goods and Services Act 1982 The person performing services must act with reasonable care and skill.

If contract is for Sale of goods also look at the below:

- * The goods must be of satisfactory quality. – **s.14(2) Sale of Goods Act 1979**
- * The goods must be fit for the particular purpose of the buyer. – **s.14(3) SGA 1979**
- * **If the sale is sale by description:** any products sold by description must match the description. – **s.13 SGA 1979**

2. **Breach:** Did the Defendant breach a term of the contract? – eg. **Express or implied term.**

3. **Loss:** Did the Claimant suffer loss as a result of the breach?

4. **Damages:**

Measure of damages:

1. **Contract claims:** Put injured party in position had the contract been properly performed. The Claimant must mitigate.
2. **Debts:** it is a claim for a sum owed. No need to mitigate.

5. **Remedies**

COMMENCING PROCEEDINGS

PRE-ACTION PROTOCOLS:

Steps that the parties/their representatives must take before starting legal action.

Parties must:

- Exchange adequate info to understand each other's position
- Consider ADR
- Lessen the costs of resolving the dispute

Standard procedure:

1. Claimant will send out a Letter of Claim to the Defendant
2. **The Defendant need not send out an Acknowledgement of Service, but must send a Letter of Response:**
 - If there is a deadline in the Letter of Claim, within the deadline
 - **If no deadline and the claim is a simple claim**, within **14 days** of the date of the Letter of Claim
 - **If no deadline and the claim is complex**, within **3 months** from the date of the Letter of Claim
3. Parties should disclose key documents, whether they are planning on using a single joint expert.
4. Parties should consider ADR.

Professional negligence pre-action rules:

For claims against professionals only.

If reasonable chance of bringing claim against potential D, send **Preliminary Notice**. Acknowledge this within **21 days**.

When Claimant decides on the grounds, sends Letter of Claim

Other side has 3 months to investigate claim, then sends:

- Letter of Response with response to allegations and/or
- Without prejudice (WP) Letter of Settlement

If offers to settle or admits part of the claim, parties negotiate for max 6 months from Letter of Acknowledgement.

If the Claimant does not agree, Claimant sends written notice 14 days before issuing proceedings.

Personal injury pre-action rules:

The Letter of Claim should contain:

- * Summary of the facts
- * Details as to how the Claimant's injuries impact on their daily life
- * The hospital they attended and any reference numbers
- * An indication of financial losses – usually an estimate only.

Response to Letter of Claim:

The Defendant has 21 days to respond – this response will likely indicate whether the Defendant wishes to investigate the matter.

If so, **they have 3 months to admit/deny the claim.**

If the Defendant does not reply within **21 days**, the Claimant may issue the Claim form.

The letters sent from each party should include reference to documents that will be disclosed during the proceedings.

Instructing an expert:

- * If the Claimant will be instructing an expert, the Claimant should aim to choose a single-joint expert together with the Defendant, and discussions should start at this stage.
- * The Claimant must send a list of proposed experts to the Defendant who may disagree within **14 days**.
- * If the Defendant disagrees, each party must instruct their own expert.

Other pre-action protocol rules:

If you fail to follow the pre-action protocols:

- * The court may order that the **proceedings is stayed** to allow the Practice Direction/the pre-action protocols to be complied with.
- * The court may **order** the non-compliant party **to pay the costs** or part of it of the other party.

It may be acceptable to issue proceedings without compliance with the protocols if:

- * The limitation period is about to expire
- * A court order is needed to preserve evidence/assets
- OR
- * The Defendant may issue proceedings in another country to avoid the UK courts.

Pre-action application for disclosure:

Either party may make a pre-action application for disclosure of certain documents.

This can only be done if:

1. The documents requested would be disclosed under standard disclosure.
AND
2. Disclosure would now assist in disposing of the claim without having to issue proceedings and thus saving costs.

Application to inspect property:

Either party might make a pre-action application to inspect property if:

- The property is/may become the subject matter of the proceedings
OR
- It is relevant to the issues in the proceedings.

WHICH COURT?

Do not confuse this question with allocation to tracks!

Which Court to choose?

Identify the **value of claim**.

Less than £100,000 even if complex – County Court. If deemed complex, case will be transferred later.

£100,000 or more – client has a choice: County Court and High Court has concurrent jurisdiction.



If there is a choice, consider the **below factors:**

1. **Financial value** – over **£100,000 by much?**
Financial value = how much we expect to recover minus interest and costs for any counterclaim.
£125,000 is only £25,000 above the High Court threshold of £100,000 – commence the case in the County Court.
2. **Complexity** – breach of contract will be straightforward
Non-payment of an invoice for £125,000, simple debt claim.
3. **Importance to the public** – not public interest

Which High Court division?

- * King's Bench Division – contract, tort
- * Chancery Division – IP, land
- * Family Division – family law cases

The high court in London is the **Royal Courts of Justice**.

What if the case is brought in the wrong court?

If the case is brought in the wrong court, **transfer is likely**.

Transfer order factors:

- * Financial value, complexity, public interest factors as above
- * Convenience, fair to transfer
- * Availability of specialist judge in regional specialist court
- * Facilities for disabled/potential witnesses

Sanctions:

- * The court may order C to pay the costs of the transfer.
- * Additional sanction for wrongly bringing a claim in the High Court instead of the County Court.

COUNTING TIME: *POPULAR EXAM Q*

What is the document served?

Is the document being served a Claim form or some other document?

If the Particulars is not served with the Claim Form it must be served within 14 days of service of the Claim Form.

If Claim form – how has it been served?

Service of Claim Form (CF)? *Only mention if asked*

Serve the Claim Form by sending it to court with one copy for each Defendant, one for Claimant, one for court + court fee

Sealing Claim Form = starts proceedings and stops the limitation period.

Where to serve CF?

Serve the Claim Form at the solicitors' address.

If sending to solicitor, they must be authorised to accept service.

If no solicitor:

- * D's last known place of residence or company's principal office.
– it will not matter if the Claim Form has not been actually received.
- * If the serving party had a reason to believe other party was no longer there – then serving party must take reasonable steps to find address.

Who serves the CF?

- * The court by post or the Claimant.
- * File certificate of service within 21 days of service of the Claim Form, unless all Defendants filed an Acknowledgement of Service.

How to serve the CF?

The Claim Form must be served by taking 'relevant step' within 4 months of issue of the Claim Form. Serve the Particulars of Claim at same time as the Claim Form.

Method of service	Relevant Step
First class post	Post or leave with postal service
Delivery or leaving at address	Delivered or left at address
Personal service	Leave with individual or partner at company
Fax (if other party accepts fax)	Fax transmitted
Electronic service – eg. email	Email sent

If the Claimant is to serve the claim form late, apply for an extension before the period ends.

Good to know the deemed date of service of the CF:

- For Claimants: the time limit for serving the Particulars of Claim runs from the deemed date of service of the claim form.
- For Defendants: the deadline for serving a response to the claim form runs from the deemed date of service of the claim form.

Claim Form is deemed served on 2nd business day after the relevant step. – eg. If posted on Friday, deemed served on Tuesday.

If only dealing with CF, skip the next heading and start counting time.

If documents other than a claim form – how has it been served?

Service of any document other than Claim Form:

Method of service	Deemed served
First class post	2nd business day after posting
Delivery or leaving at address	If served before 4.30pm on a business day, then same day, otherwise next business day.
Personal service	
Fax (if other party accepts fax)	
Electronic service	

Particulars of Claim:

Serve the Particulars within 4 months of taking relevant step

If Particulars served same time as the CF:

It will be deemed served at the same time as the Claim form.

If Particulars served separately from CF:

Above rules on service apply to the Particulars of Claim.
Must serve the Particulars 14 clear days after CF served.

Particulars of Claim – How to respond?

D must respond in one of 3 ways within 14 days of deemed service of the Particulars:

1. Admit part or all of the claim
2. File defence within 28 clear days of deemed service of Particulars
OR
3. File Acknowledgment of service using Form N9. Do this if:
 1. You need more than 14 days to prepare the defence
OR
 2. If it wishes to dispute that the court has jurisdiction to hear the claim.

File an acknowledgment of service within 14 days after service of the Particulars

Acknowledgement of Service + Defence:

File the Acknowledgement of Service 14 days after Particulars deemed served:

- File the Acknowledgement of Service together with the defence
OR
- File the Acknowledgement of Service separately

File the defence 14 days after Particulars or if acknowledged service, file the defence 28 clear days after the Particulars of Claim.

Counting time:

Days = always 'clear days' not incl. first day. If last day ends with event (hearing), then add 1 day. Therefore, the day of deemed service is always treated as 0, then stop counting on the 14th day. If 14th is a hearing date, skip that day and stop at the 15th day.

If period is 5 days or less ≠ incl. weekends + bank holidays

Notice served at least 3 days before hearing (Friday 20 Oct) - last date of service = Monday 16 Oct

If period is > 5 days = incl. weekends + bank holidays

Eg. Particulars served within 14 days of CF. If CF deemed served on 3 Feb, last date of service = 17 Feb

TIME EXTENSIONS:

The Defendant may agree with the Claimant to extend the deadline for service if they cannot serve the defence in time.

The parties can agree among themselves to extend the deadline by up to 28 clear days from the deemed service of Claim Form, so that the Defendant has 56 days in total to serve its defence. The parties must notify the court in writing.

If the Defendant needs more time than 28 days, the Defendant should make an interim application to extend time:

The court will ensure that the overriding objective is furthered in deciding whether to grant an extension of time. The court may accept or reject the application.

JUDGMENT IN DEFAULT:

Judgment in default = Judgment without trial in the Claimant's favour due to the Defendant's default. This is done at the early stages of a claim where the Defendant has not submitted an Acknowledgement of Service or the Defence in time or at all.

Requirements:

Claimant may apply if: the Defendant did not file the Acknowledgement of Service or defence within the time limits.

The Claimant must apply promptly.

The Claimant must show that:

- * The Claimant filed a certificate of service
- * Application was made on notice and with all the relevant evidence
- * The claim has not been admitted or satisfied
AND
- * No application made for summary judgment or strike out.

Defendant's options:

The defendant's options:

- * The Defendant may apply to have the default judgment set aside.
- * The setting aside of the judgment in default will be automatic if judgment was wrongly entered.

Test for setting aside default judgment:

FXF v English Karate (2023) The Denton test also applies to applications setting aside default judgment.

Denton Test for relief from sanctions. Relief will be granted if:

- * The breach is not serious/significant
- * There is a legitimate reason for the breach – Defendants must explain what the reason was for their non-compliance.
- * Other circumstances that suggest relief should be allowed, in particular, whether the application to for relief was made promptly by the applicant.

Mandatory grounds (court must set aside judgment in default if):

- * Acknowledgement of Service/Defence is served within time limit
- * D has satisfied/admitted claim before the application.
- * D applied for summary judgment or strike out before the application.

Discretionary remedy (court may set aside if):

- * The Defendant has real prospect of defending the claim.
- * There is a good reason to set aside the judgment. – eg. length and reasons for D's delay

STATEMENTS OF CASE

Statements of case are as follows:

- Claim Form
- Particulars of Claim (if separate from Claim Form)
- Defence and Counterclaim

PARTICULARS OF CLAIM:

The Claimant must send out a Particulars of Claim detailing their case and must disclose enough information to identify all issues.

The Particulars of Claim must include:

- * **For contract claims:**
 1. The parties to the contract
 2. The nature of the contract
 3. The terms that have been breached
 4. Fact pattern showing the breach and losses
 5. Prayer for relief (the remedy sought)
 6. Statement of truth
- * **For Road accident claims:**
 1. Date, time, place and description of the collision
 2. Details of negligence
 3. Any relevant convictions
 4. Details of any injuries
 5. Schedule of past and future losses
 6. Prayer for relief
 7. Statement of truth
- * **For personal injury claims:**
 1. Date, time, place and description of the accident
 2. Details of negligence
 3. Any relevant convictions
 4. Details of any injuries
 5. Schedule of past and future losses
 6. Prayer for relief
 7. Statement of truth.
- * **For employer liability tort claims:**
 1. Facts that establish the employer-employee relationship
 2. Circumstances and details of the injury
 3. Breach
 4. Schedule of past and future losses
 5. Prayer for relief
 6. Statement of truth

If you are claiming interest, include:

1. The basis for the claim, the applicable percentage
2. The date on which the interest ends (usually the day when the Particulars of Claim was drafted)
3. The total amount claimed

Other points to include, if relevant:

1. Any illegality surrounding the case
2. Allegations of fraud
3. Misrepresentation
4. Breach of trust
5. Notices of knowledge of a fact
6. Unsoundness of mind
7. Undue influence of either party
8. Details of wilful default
9. Defendant's failure to mitigate loss or damage

DEFENCE:

A Defendant should then prepare a defence in response (however, they do not need to if they do not wish to defend the claim). Once a defence is prepared, it should be served on every other party to the claim.

The Claimant may then send a **Reply** to the defence if they wish to.

Admit, deny, require proof:

In the defence, the Defendant must respond to each paragraph in the Particulars of Claim by:

1. Admitting it
2. Denying it
- OR
3. Requiring proof of the statement (also called a non-admission)

Admit:

Admit anything that is not disputed or non-controversial. In a contract action, it is usual to admit the existence of the contract and sometimes its performance and its terms.

Deny:

Denials are used to dispute any facts which, if they had occurred, would have been within the defendant's knowledge. If a defendant denies an allegation it must give reasons or put forward a different version of events.

In a contract claim, it may be possible to deny that:

- a) The debt is due, or
- b) The term relied upon exists, explaining why – eg. **because the sale was not in the course of business.**

Require proof:

This term is used if the Defendant is unable to either admit or deny because the fact that is alleged is something about which the Defendant did not and could not know. In contract claims, the Defendant usually requires proof of the amount of the alleged loss and damage.

Specific rules:

If the Defendant disputed the Claimant's statement of value, they should state the reasons why and state their own value.

For personal injury claims:

The defence must state whether the Defendant agrees with the medical report served with the Particulars of Claim.

A Defendant may admit damages subject to liability – thus a Defendant may admit the amount of damages but deny liability. If this is the case, the Claimant will recover the agreed damages if they prove liability.

Example:

Respond to each paragraph of the Particulars of Claim – example paragraphs:

- **At all material times paragraph** – admit. There is nothing controversial in this paragraph. In fact, the comment that 'the Defendant was a manufacturer of cat furniture' helps Pets's case that this was a sale in the course of a business.
- **The Claimant entered into a contract with the Defendant on 11 October 2024 and the price for the Goods was £200,000** – admit. There is nothing which Pets disputes here. The parties entered into the contract and Pets does not dispute that the price agreed was £200,000.
- **It was an express term of the Contract that payment for all services and goods provided would be due 30 days from the date of the invoice and that interest would be payable at 8% per annum on late payment.** – admit. Again none of this is controversial and it describes what happened. The fact that the invoice was not paid (breach) is separate so use a separate paragraph.
- **In breach of the express term of the Contract, no payment has been made by the Defendant.** – this would be denied by saying that there was no breach of contract. The Defendant could deny liability to pay the invoice for example if the products malfunctioned or were not as described which meant that there had been a breach of the implied term in the contract that the goods were of satisfactory quality.
- **As a result of the breach, the Claimant claims the sum of £200,000** – the loss figure here would be admitted or denied depending on whether you are disputing the figure or not.
- **The paragraphs claiming interest** – this should be denied.

DIFFERENT TYPES OF CLAIMS:

There are three key types of claims the SQE may test you on:

1. **Part 7 Claims** – your usual claim where the Claimant and the Defendant are in dispute of facts.

Example:

Jessabelle makes a claim for breach of contract against Aubrey, in relation to works that have not been carried out to the required standard. Aubrey says that this is not correct, and he has performed the contract according to the specification.

2. **Part 8 Claims** – a claim where the Claimant and the Defendant are not disputing any of the facts (relatively rare).

Example:

Molly is the personal representative of her father, who has passed away last week. She requires guidance from the court, as she is unsure how to interpret her father's will. There are no facts in dispute here, so the claim will be made under Part 8.

3. **Part 20 Claims** – claims that are additional to the principal claim.

PART 20 CLAIMS:

Part 20 claims include:

- * The Defendant's claims against third parties who are potentially liable to pay compensation to the Claimant/Defendant
- * The Defendant's counterclaims against the Claimant

The Defendant must obtain court permission to file:

1. A counterclaim
2. A third-party claim
3. Indemnity/contribution
4. Counterclaim against another third party

If the counterclaim, third party claim or indemnity/contribution is **filed together with the defence**, then the Defendant does not need to obtain court permission.

Thus, if the Defendant wishes to make these claims at another time, they must obtain court permission.

Serving the Claim:

- * If court permission is not required, a Part 20 claim must be served on each party to the claim when the defence is filed.
- * If an additional claim is issued by the court later, it must be served on the person against whom it is made within **14 days** of issue.

Defences to Part 20 claims:

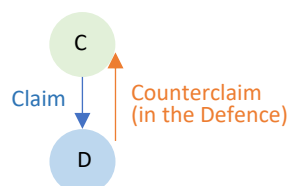
Defences must be served within **14 days** of the deemed date of service of the Part 20 claim.

Counterclaim:

Counterclaim = when a Defendant makes a claim against the Claimant in the defence where this claim is arising from the same set of circumstances as the Claimant's claim.

Counterclaims must be brought within the same proceedings. – **typically, as part of the defence.**

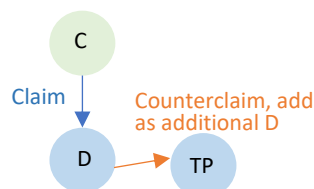
Counterclaims are monetary claims in their own right.



Third-party claims:

Third-party claim = a Defendant claims that a third party (who is not party to the claim) has caused the Claimant's losses.

The Particulars of Claim must be served with the third-party claim.



Counterclaim against another third party:

A Defendant counterclaims a third party (who is not party to the claim) for compensation. These counterclaims must arise out of the same proceedings as the main claim.

These claims may only be made after obtaining a court order.

REQUESTS FOR FURTHER INFORMATION:

Either party may send a **request for further information to any of the other parties** to clarify a matter in dispute/get additional information.

If the other party does not respond within a reasonable time, the requesting party may make an application to the court.

The other party may object – grounds for objection:

- * The request is unnecessary/irrelevant/improper
- * The information is protected by privilege
- * The responding party is unable to provide the information requested
- * The responding party was given insufficient time to respond
- * The costs of complying with the request would be disproportionate to the claim
- * Complying with the request would be contrary to the overriding objective

AMENDMENTS TO STATEMENTS OF CASE:

Once the **Statements of case** is served, it **can be amended by written consent** of all the parties/court permission.

A new party can be added to the proceedings, if it is shown that adding the party will allow the court to resolve the matters in dispute/resolve a connected matter.

A court may order a person to cease to be a party, if it would not be desirable for them to be a party to the proceedings.

A party may be substituted for an existing party, if:

- * The existing party's interest/liability has passed to the new party AND
- * It is desirable to substitute the new party so that the court can resolve the matters in dispute.

CASE AND COSTS MANAGEMENT

CASE MANAGEMENT AND COSTS BUDGETS:

Case and costs management are both dealt with at the **allocation stage**. The CMC often doubles as a costs management hearing and is referred to as the costs and case management conference (CCMC).

Case Management Conference (CMC):

CMC = Meeting to approve of directions for conduct prior to trial + narrow any issues.

File case summary before CMC if this helps court to understand the case better.

Directions:

Directions = court instructions on how to prepare for case – eg. how to exchange witness statements, deadlines, hearings.

- **If parties do not agree directions:** must conduct case and costs management conference.
- **If parties agree:** no CMC but separate costs management conference.

Costs Management:

Costs budget = a budget estimate of reasonable and proportionate costs that party expects to incur during litigation. – **Tactical point:** high budget will convince opponent into mediation.

ALLOCATION:

Once the defence is filed, the **County Court** allocates the case to a track.

Small claims track:

Value of the claim is less than £10,000.

For personal injury claims: value must be less than £1,000.

Recoverable costs will be limited to **fixed costs** (what the court deems reasonable for the type of case).

Fast track:

Between £10,000 and £25,000.

AND

Other factors to consider for fast track:

- Trial should be expected to take less than 5 hours
- AND**
- There will only be one expert per party.

Intermediate track:

Cases between £25,000 and £100,000

AND

Other factors to consider for intermediate track: CPR 26.9(7)

- Trial is not expected to last longer than 3 days.
- There will only be up to 2 experts per party.
- AND**
- There is a maximum of 3 parties to the claim.

Multi-track:

All other types of cases

PROCEDURE AND DIRECTIONS:

Directions are given at the Case Management Conference.

Small claims track:

- * **CPR Rule** The court assigns the claim to a track and sends out the **Notice of Proposed Allocation**.
- * **CPR Rule** The claim is allocated, and the court sends out the **Notice of Allocation**.
- * **Direction** **No expert** is to be instructed without obtaining court permission first.
- * **Direction** The **hearing date** is set out.

Fast track:

- * **CPR Rule** The court assigns the claim to a track and sends out the **Notice of Proposed Allocation**.
- * **CPR Rule** Court sends out a **Directions Questionnaire** for the parties to fill in within **28 days**.

- * **CPR Rule** The claim is allocated, and the court sends out the **Notice of Allocation**.

- * **Direction** The **trial date** is set at week 30.

Intermediate track:

- * **CPR Rule** The court assigns the claim to a track and sends out the **Notice of Proposed Allocation**.
- * **CPR Rule** Court sends out a **Directions Questionnaire** for the parties to fill in within **28 days**.
- * **CPR Rule** Both parties must produce a **Disclosure Report** up to **14 days** before the first CMC.
- * **Direction** Both parties to file **costs budgets** **21 days** before the first CMC.
- * **Direction** Both parties to file and exchange a **Budget Discussion Report** no later than **7 days** before the first CMC.
- * **CPR Rule** The claim is allocated, and the court sends out the **Notice of Allocation**.

Multi-track:

- * **CPR Rule** The court assigns the claim to a track and sends out the **Notice of Proposed Allocation**.
- * **CPR Rule** Court sends out a **Directions Questionnaire** for the parties to fill in within **28 days**.
- * **Direction** Both parties must produce a **Disclosure Report** up to **14 days** before the first CMC.
- * **Direction** Both parties to file **costs budgets** together with the **Directions Questionnaire**.
- * **Direction** Both parties to file and exchange a **Budget Discussion Report** no later than **7 days** before the first CMC.
- * **Direction** Both parties must prepare a **case summary** to provide the court at the CMC.
- * **CPR Rule** The claim is allocated, and the court sends out the **Notice of Allocation**.

Sanctions for non-compliance:

Failure to comply with the rules/court orders will attract a sanction. **Seeking to obtain 'relief from sanctions'** = Trying to persuade the court not to impose a sanction where due.

Common sanctions:

- Make a costs order in relation to either party.
- Prevent a party from adducing evidence on an issue (debarring evidence)
- Limit interest on a claim/increase the interest amount payable.
- Impose an **Unless order**: An order that **unless the party** that has not complied with the CPR **complied with the CPR requirements within the time limits** set out by the order, **the court will order the strike out** of that party's case.

Grounds of an unless order: CPR 3.1(3) and CPR 23

- * The Respondent in an interim application has **failed to comply** with the previous order or the overriding objective.
OR
- * The courts believe that it is likely that the **Respondent is not acting in good faith**.
- **Strike out whole or part of the case – rare.** Once deleted, the party cannot rely on it in the proceedings. This power is used to strike out inappropriately drafted paragraphs or as a sanction for abuse of court process.

Grounds for strike-out:

1. The statement of case discloses no reasonable grounds for bringing/defending the claim (High standard).
2. Abuse of court process/obstructing just disposal of claim
OR
3. Failed to comply with a rule/practice direction/court order

Failure to file a budget:

Sanction: court may treat the parties as having filed a budget containing only the court fees. The party will not be able to recover anything above court fees even if wins at trial and awarded its costs.

Relief from sanctions:

If a party has a good reason for non-compliance, the court may grant relief from sanctions.

Test for relief from sanctions. Relief will be granted if:

1. **The breach is not serious/significant** – Does the breach imperil future hearing dates? – eg. filing late by 45 mins is not serious, but repeat offenders are more likely to be serious. Significant if trial had to be vacated because of it.
OR
2. **There is a legitimate reason for the breach** – eg. solicitor or party overworked is not legitimate reason

STATEMENT OF COSTS:

Low value cases/interim applications:

- * Parties must file the statement of costs **24 hours** before a hearing **or 2 days** before a trial.
- * At the end of the hearing, the judge makes a **summary assessment of costs** that would be payable at the end of the hearing.

Large value cases:

OPTION 1 – Detailed assessment of costs:

- * The court will likely order a **detailed assessment of costs**. Most likely option.
- * The successful party will prepare a **bill of costs** within **3 months** of the judgment/order.
- * If the bill is more than 20% above the figures in the costs budget, the Claimant must file a statement of costs with reasons included.
- * The paying party must file **points of dispute** within **21 days**.

OPTION 2 – Provisional assessment of costs:

- * Or, instead of a detailed assessment, the judge may enter a **provisional assessment** based on the bills – this will essentially indicate an amount that the judge is willing to approve.
- * If the party receiving the assessment does not agree with the assessment, it can challenge it within **21 days**.
- * They can also ask for the matter to be listed for a detailed assessment hearing instead.

Once the parties agree/follow the assessment, a **final costs certificate** is issued.

The costs must be paid within **14 days** from the date when the costs certificate is issued by the court.

COST CALCULATIONS AND ASSESSMENTS:

Retainer = contract between solicitor and client. Client must instruct solicitor who must then agree to act. Initial interview = not retainer.

Solicitors' costs:

1. Profit costs (hourly rate x numbers of hours spent) plus VAT
2. Disbursements

Bill your time every 6 minutes.

Who pays costs?

General rule: the party who loses the litigation will pay the winner's costs and disbursements. – the court will make an inter-partes costs order to effect this.

Court considers:

- * **The parties' conduct:**
Including whether they complied with the pre-action protocols.
- * **Whether either party succeeded on whole/part of its case – ie. if the Claimant wins, the court is likely to award them costs.**
- * **Whether any offers have been made to settle.**
Part 36 offers will not be taken into account as special rules apply.

Solicitor/client costs: The client is responsible for their solicitor's costs. Court will take into account the conduct of the parties.

Party/party costs: unsuccessful party pays successful party's costs

Amount of costs:

Costs must be **reasonably incurred + proportionate in amount** – unreasonable/disproportionate cost requests will be denied.

Neither party will ever recover 100% of its costs.

Standard basis:

Any doubt whether something is proportionate will be resolved in favour of paying party. Receiving party recovers 60-70% of costs.

Indemnity basis:

Any doubt resolved in favour of receiving party.

- * Punishes paying party – eg. for conduct.

- * Receiving party recovers 80% of costs

Court will look at receiving party's last approved budget to decide the right amount of reasonable costs that will then be awarded.

When costs are payable:

When making a costs order, the court will indicate the basis of assessment.

Two types of assessments:

- * **Summary assessment:**
If trial is expected to last 1 day or less.
OR
- * **Detailed assessment:**
For all other trials, a detailed assessment will be prepared by a specialist costs judge.

Interim costs orders:

- ⇒ **Costs in the case** – Costs follow the order at trial
- ⇒ **No order as to costs** – Each party bears their own costs
- ⇒ **Costs in any event** – The party awarded costs gets its costs of the interim application.

Security for costs:

The Defendant may be concerned that the **Claimant may not be able to pay their costs** at the end of the proceedings and they have the option to make an application for security for costs.

This is because even if the Defendant wins the case, their costs may not be covered if the Claimant is unable to pay.

DISCLOSURE AND INSPECTION

There is no duty of automatic disclosure and/or inspection of relevant documents. Such duty will only arise by court order.

Two-stage process:

DISCLOSURE	INSPECTION
* Asks which documents should be disclosed. * In order to answer the question, look at the test of standard disclosure. * Disclosure involves providing a list of documents.	* Even if the document is disclosed, it may not be inspected if any type of privilege applies. * Inspection involves providing the documents which can be viewed and photocopied.

DISCLOSURE PROCEDURE:

Standard Disclosure:

The disclosure statement:

1. **Every list of documents must include a disclosure statement.**
This:
 - * Sets out the extent of the search made and state that it is reasonable + proportionate.
 - * Certifies the party understands its duty to disclose the documents
AND
 - * Certifies that, to the best of the party's knowledge, he has carried out that duty.
2. The disclosure statement must be made (signed) by the disclosing party. If a company is making the statement, the statement must be made by an appropriate officer.

Inspection:

A party wishing to inspect documents must send a **written notice** of its wish to do so to the other side and the other side must allow inspection **within 7 days of receipt of the notice**.

It is possible to ask for copies instead, with an undertaking to pay reasonable photocopying charges (but it is usually better to inspect original documents as well as to request copies).

Challenging the disclosure:

The disclosure can be challenged by either party. – eg. if it **logically appears that a document is missing**.

Ways to challenge the disclosure:

- Apply for specific disclosure
- Serve a Notice to Admit Facts
- Make a Request for Information to obtain the missing information
OR
- If the opposing party continues to disregard their obligations under the CPR – Apply for an unless order.

Disclosure report:

If the claim is a multi-track claim that is not related to personal injury, the court requires each party to draft a disclosure report.

This disclosure report must be filed:

- * At least 14 days before the first Case Management Conference
OR
- * File it with the Directions Questionnaire.

An interim application for specific disclosure:

Either party may start an interim application for specific disclosure.

This application would **require** another party to the proceedings to **disclose specific documents** and it is usually done where there is a reason to believe that the disclosure made was not adequate. – eg. **there are documents missing**.

The application for specific disclosure should include:

- **Written request for information – this request should include:**
 - * A description of the documents sought and why they are relevant
 - * Why it is reasonable and proportionate for this to go ahead
 - * The document is not in their control
- AND
- **Evidence in support.**

Pre-action disclosure:

Before issuing proceedings, a person who is likely to become a party to the proceedings may make an application for disclosure so that they have information as to the evidence the other side has and their likely chances of success.

STAGE 1 – STANDARD DISCLOSURE:

Parties to litigation have a duty to disclose all documents (in physical or electronic form) relevant to the litigation.

Electronic documents:

- * E-mail and other electronic messaging – eg. **text/Whatsapp**
- * Databases
- * Documents stored on servers, deleted docs and clouds.
- * Metadata (= data about data) such as the date/time of creation
- * Content of social media websites – eg. **Facebook and Twitter**

This duty extends to your client if the documents were in their control:

Control is defined widely:

- a) The doc is/was in the physical possession of the party
- b) The party has (or has had) a right to possession of the doc
OR
- c) The party has/had a right to inspect or take copies of the document.

Standard disclosure requires a party to disclose only:

- a) The documents on which they rely – **Board minutes to prove a strong case, offer to settle letter relied upon to obtain favourable costs orders.**
 - b) The documents which:
 - (i) Adversely affect their own case
 - (ii) Adversely affect another party's case
OR
 - (iii) Support another party's case
- AND
- c) The documents which they must disclose under a relevant practice direction.

Reasonable search:

A party need only carry out a reasonable search for docs that fall into categories (b) or (c) of the standard disclosure definition.

Reasonable search factors:

1. The approximate number of documents
2. The complexity of the proceedings
3. How difficult/expensive it will be to retrieve some docs, and
4. The significance of the docs likely to be found.

The court will also take into account the proportionality principle and the overriding objective. – **Thus, the search could be limited to a specific transaction or docs created on or after a given date.**

A party need not search for a doc if it would be disproportionate to do so. If so, the party must state this in its disclosure statement and why the search would be unreasonable.

STAGE 2 – INSPECTION:

Can the document be withheld from inspection?

Yes if:

- The document is privileged
- The document is no longer in their control
- Allowing inspection would be disproportionate

Types of privilege: *Learn all definitions by heart*

- **Legal advice**
- **Litigation**
- **'Without prejudice'**

Legal advice privilege:

A document which is a confidential communication between a lawyer and a client and was prepared for the purpose of giving/receiving legal advice.

Litigation privilege:

Confidential communications between a client and solicitor or between either one of them and a third party, with the dominant purpose to obtain legal advice/evidence/information for use in the conduct of litigation reasonably in prospect at the time when the document was created.

Example:

- * Solicitor and witness: litigation privilege – witness statements
- * Solicitor and expert: litigation privilege – eg. expert reports

Without prejudice communications:

Docs with the purpose being a genuine attempt to settle a dispute.

If marked as being “Without prejudice save as to costs” – judge can look to the document to decide the costs.

Waiver and redaction:

Waiver:

A party may deliberately disclose and allow inspection of a privileged doc if that doc will likely help its case. In this case, **privilege is waived**.

But, you cannot ‘cherry pick’ certain parts of a privileged document to reveal to the other side/the court. Waiving privileged in part of a doc will lead to privilege being waived over the whole doc.

If a doc is mentioned in a statement of case, affidavit or a witness statement – this would waive privilege.

Redaction:

If **not** privileged, but includes privileged material, the irrelevant info can be redacted. – eg. in a note of conversation with other’s solicitor + client, redact client’s conversation.

WITNESS AND EXPERT EVIDENCE

The rules regarding evidence at civil trials are set out.

ADMISSIBLE/INADMISSIBLE EVIDENCE:

General rule: all relevant evidence is admissible.

Court may exclude evidence even if that evidence is admissible.

Two types of witness evidence:

1. Evidence of witnesses of fact
AND
2. Evidence of expert witnesses

Inadmissible Evidence:

- * Irrelevant
- * **Opinion evidence:** what a witness thinks, believes, or infers in relation to facts. Exceptions: Perceived facts and expert opinion
- * **Privileged evidence:** admissible only if privilege is waived.

Admissible Evidence:

- * **Perceived facts**
This is where the witness' opinion is a shorthand for facts. – eg. "The car was driving fast". "Bob was drunk".
- * **Expert evidence**
The opinion of an expert will be admissible.
- * **Hearsay** – admissible in civil proceedings subject to procedural issues.

HEARSAY EVIDENCE:

Hearsay evidence = Oral or written statement made out of court that is adduced in court to prove the truth of a matter.

Eg. Alice makes a witness statement of something that Mr Brown said.

Procedure for hearsay evidence:

1. **All hearsay evidence is admissible**
 - But as indirect evidence, it is less reliable.
 - If you obtain witness statement but then witness dies before trial, use witness statement as hearsay evidence.
2. **If intends to rely on hearsay evidence, serve notice of intention on the other side.**
 - Serving a witness statement is deemed notice of intention and no separate notice is required.
 - If witness is not coming to trial, must explain why and inform the other party.
 - If there is no witness statement served and a party wishes to rely on hearsay evidence at trial, then the other party must be given notice.
3. **When other side receives notice, they have 4 options:**
 1. Request particulars
 2. Call for cross-examination within 14 days of notice being served.
 3. Challenge the weight of the hearsay evidence at the trial
 4. If witness is not called to trial, attack their credibility by pointing out past contradictory statements but notify other side within 14 days.
4. **Court decides on weight:**
Factors: court considers:
 - a. Reasonable and practicable for witness to attend trial
 - b. If original statement was made at the same time as the matters stated
 - c. Multiple hearsay involved
 - d. Motive to misrepresent matters
 - e. Whether circumstances suggest an attempt to prevent proper evaluation of its weight

5. Attack credibility

WITNESS STATEMENTS:

Oral evidence is **direct evidence**, the **witness statement itself will be hearsay** if the witness does not attend trial.

Service of witness statements:

A witness statement, once served on the other side, will be prior **notice** of what the witness will say at trial.

If you intend to rely on a Witness Statement at trial, you must serve it on the opposing If not served, the witness cannot give oral evidence at trial.

Contents of a witness statement:

The witness statement will contain evidence that help prove the facts in issue – eg. **duty, breach, causation**.

The witness statement cannot include:

- * Inadmissible evidence
- * Irrelevant information

What should you do if you are not able to exchange on time?

1. Depends, if the application is in time or out of time.
2. Parties can agree in writing extensions of up to **28 days** for the filing + serving of witness statements, without court approval, if any such extension does not put a hearing at risk.
3. If a witness statement is not served on time, the witness may not be called to give oral evidence unless the court gives permission.

If the witness does not want to give evidence:

If witness refuses to give a witness statement and/or cannot attend trial to give evidence, **serve a witness summons** at least 7 days before trial.

Ensure that the witness summons is properly served on the witness, as it will not be binding without **proper service** (look at the rules on counting time).

Once properly served, the witness **must attend the court trial** and give evidence, otherwise, the witness will be in contempt of court.

However, once received, the witness has the right to make an application to the court to **set aside the witness summons** if the witness is unable to provide information in their evidence which would be relevant to any of the matters in issue.

EXPERT EVIDENCE:

Court has a duty to restrict expert evidence. Need permission of the court to use expert evidence but not for expert advisors. It is ultimately up to the court whether expert evidence is allowed.

The expert's primary duty is owed to the court, not the paying party.

Adding expert evidence:

Parties need permission to call experts.

At the direction stage, provide the court with:

- * The experts' names
- * Their field of expertise
- * A cost estimate for calling the experts
- * The issues the experts will address

Parties should try to agree a Single Joint Expert (SJE) to save costs.

Expert reports must be exchanged. Failure to exchange report would mean the reports cannot be relied on at trial unless court permits.

Letter of instruction and expert report – privilege status:

Letter of instruction of an expert report – Instructions are not privileged from inspection.

No privileged material should be attached or referred to in the instructions as this would waive privilege over these docs.

Expert report – Privileged until served on the other side.

Draft expert report (not final) is subject to litigation privilege. Privilege will be waived in the final version of the report when it is served.

What steps should experts take after exchange of reports?

Questions to experts: Written questions can be put to an expert once only within **28 days** of service of the expert's report.

Discussions between experts: The court can direct that discussions take place between experts to identify, narrow and if possible, agree issues. – any meeting between experts will be without prejudice.

Joint statement: A joint statement must be prepared by the experts.

Experts have the right to ask the court for directions.

TRIAL

PREPARATIONS FOR TRIAL:

1. Pre-trial checklist (Listing Questionnaire):

- * Sent out by the court
Must be sent to each party at least 14 days before

* **Must be completed and filed by both parties.**

Filing date is set by the court and it will be at least 8 weeks before the trial date.

Consequences of non-compliance:

- **If both parties fail to file checklist on time:** court will likely grant an unless order:
 - Parties must file within 7 days of order
 - OR
 - Strike out
- **If one party fails to file on time:** court gives further directions, but unlikely to strike out

- * Check whether cost management directions have been complied with.

2. Attend pre-trial hearing:

The court will review the case, gives directions on trial date and other matters.

3. Trial bundle must be filed 3-7 days before trial.

- * The Claimant's solicitor must **prepare 6 trial bundles** as a minimum for all civil litigation trials.
- * The Claimant's solicitor must approach the Defendant's solicitor and seek their agreement as to what is to be included in the bundle.
- * **The trial bundle will include:**
 - All statements of case
 - The case summary
 - Information about the parties
 - A schedule of issue
 - Witness statements and expert reports.

4. Skeleton arguments + list of authorities

- * For High Court trials, this will be prepared by both parties
- * Summarises parties' legal arguments and includes a list of authorities

5. Settlement:

Assess strengths and weaknesses of case, reconsider whether to settle/make a Part 36 offer.

6. Parties consider Notices to admit facts/documents

7. Prepare the case summary:

Case summary must:

- * Not be more than **500 words**
- * Clearly specify the issues and facts that have been agreed and those that are in dispute.
- * Provide a synopsis of evidence that will be needed at trial.

8. Summon reluctant witnesses:

Witness summons = requires witness to attend to give evidence/produce docs for court.

9. Brief to Counsel:

Doc given to counsel with their instructions.

10. Secure attendance of experts/witnesses.

11. Update costs if needed.

3. **Calls Defendant's evidence:**

- * Evidence in chief
- * Cross-examination
- * Re-examination

4. **Closing submissions** by advocates (first the Claimant then the Defendant)

5. **Judgment** – the judge may give judgment immediately or at a later date.

6. **Arguments on costs**

7. **Costs judgment/order**

Leading questions are permitted during cross-examination; however, they are not permitted during re-examination.

Leading question = a question prompting the responding party to give a desired answer.

ADDRESSING THE JUDGE:

You must know how to properly address people in and outside of court.

Type of judge	Written title	Abbreviation	Address in court	Address in correspondence
District	District Judge [name]	[name] DJ	Judge	Judge
Circuit	His/Her Honour Judge [name]	[name] HHJ	Your Honour	Judge
Master	Master [name]	Master [name]	Judge	Judge
High Court	The Honourable Mr/Ms Justice [name]	[name] J	My Lord/Lady	Judge
Court of Appeal	The Right Honourable Mr/Ms Justice [name]	[name] LJ	My Lord/Lady	Lord Justice

COURTROOM ETIQUETTE:

- * **Solicitors to wear a formal attire:** a dark suit, formal shoes, light coloured shirt and modest jewellery.
- * **Solicitor advocates** must also wear a gown, collar and bands but will not wear a wig.
- * Electronic devices must be **turned off**. – a solicitor using a mobile phone during a hearing may attract **contempt of court** proceedings.
- * Do not eat/drink in court
- * Bow to the judge when entering/leaving the courtroom
- * Wait until your turn to speak
- * Refer to the judge by the correct mode of address
- * Refer to your opponent as 'my friend'.

COURT ORDERS:

Court order = an official court decision in relation to either a procedural or a directional issue. This includes a decision either that one/more of the parties do or refrain from doing a specified action.

In most cases the terms judgment and order are used interchangeably.

Types of orders:

A court order may be **interim** or **final**.

Order may be made by:

- * The operation of the CPR – Deemed orders
- * By the court

TRIAL:

General rule: all hearings are held in public.

If the is confidential information in the matter, the hearing will be held in private.

The Claimant will be responsible for preparing the trial bundle.

Stages of a trial:

1. **Opening statements** by both advocates (first the Claimant then the Defendant)

2. **Calls Claimant's evidence:**

- * Evidence in chief
- * Cross-examination
- * Re-examination – eg. to restore credibility of a witness.

- * By the consent of the parties – these are called consent orders where the parties agree on an outcome and the court makes an order to give effect to this.

Deemed orders:

These orders arise by operation of the CPR, rather than a decision of the court.

This could be an order setting out that costs are to be paid on a standard basis and this would arise in the following situations:

- * The claim is struck out because the court fees have not been paid. – **CPR 3.7A**
- * The claim is struck out because the court fees have been paid by cheque, however, the cheque is dishonoured. – **CPR 3.7B**
- * A Part 36 offer is accepted by one of the parties. – **CPR 36.13**
- * The claimant discontinued the claim. – **CPR 38.6**

For a deemed order to apply, the parties do not need to draft an order for this to be enforceable.

Court orders:

The parties **may prepare draft orders** and send them to the court for approval or consideration, however, in most cases, the court has the final say as to what goes into the order.

When making an interim application, it is best practice to attach the draft order to your application so that the court can consider it and the order sought becomes clear.

CPR 40.3 The court will be responsible for drawing up every judgment/order except where:

- * The court makes an order for one of the parties to draw it up.
- * One of the parties agree to draw it up for the court, with the court's permission.
- * The court dispenses with the need for an order to be officially drawn up.
- * The order is a consent order.

CPR 40.7 A judgment/order is **effective** from the day when it was made or a later date, as specified in the order.

Consent orders:

Consent Orders = stay the proceedings on agreed terms.

CPR 40.6(2) An officer of the court may seal a consent order if:

- * The judgment/order is an order listed in CPR 40.6(3).
- * All of the parties are legally represented.
OR
- * The CPR/legislation so requires.

Tomlin orders – used for confidentiality. This type of order will have a public part and a private schedule so specific matters can be kept confidential)

Deadline for compliance:

CPR 40.11 The deadline for compliance with a judgment/order where it includes the payment of money (including costs), this **must be made within 14 days of the date of the judgment/order if it is not specified** on the judgment/order.

If the payment is not made within this time, steps may be taken to enforce the judgment.

Exceptions:

- * If the judgment/order includes a different date, then that date must be followed.
- * If the CPR specifies a different deadline.
- * If the court has stayed the proceedings/judgment.

Payment by instalment or foreign currency:

CPR 40B.12 If the judgment/order is to be **paid by instalments**, then the judgment/order should include the following:

- * **The full amount** payable and **the amount of each instalment.**
- * The number of instalments
- * When to pay each instalment
- * Who should receive the payments

CPR 40B.10 If the judgment/order is to be **in a foreign currency**, the judgment/order should include the following wording:

"It is ordered that the defendant pay the claimant (state the sum in the foreign currency) or the Sterling equivalent at the time of payment."

PART 36 OFFERS AND SETTLEMENT

SETTLEMENT (NON-PART 36):

Enforcement:

By court orders:

- Dismiss the claim – stops the Claimant from suing on same issue again
- Discontinue claim – the Claimant may sue on same issue again
- Make a consent order – eg. **Tomlin order**

By a settlement agreement:

- If settlement agreed after Claim Form issued, must notify court
- To enforce:**
 - Sue for breach of contract, apply for summary judgment
 - If a consent order exists: enforce terms of order in addition to breach of settlement agreement.
- For confidentiality – use **Tomlin orders** (this type of order will have a public part and a private schedule so specific matters can be kept confidential)

Part 36 vs Settlement agreements:

SETTLEMENT AGREEMENTS	PART 36 OFFERS
* No court involvement * May set own terms for costs, although the usual cost rules still apply * Time limits are set by the settlement agreement terms * May pay in instalments * No damages award	* Court may be involved. – eg. for withdrawal which needs court permission. * Court decides costs consequences * Time limit is set = 21 days * Must be lump sum * If a reasonable offer is refused, bonus damages award.

PROCEDURE FOR PART 36 OFFERS:

Purpose of Part 36 offers: Financial incentives for opponent to settle.

When to make a Part 36 offer: at any time, even prior to commencing proceedings.

Part 36 offers are treated as ‘without prejudice’.

A Part 36 offer must:

- Be in writing – eg. in a letter, email.
- Be clear that it is an offer made under Part 36
- Must refer to the **Relevant period**, a period during which the offer is open. The offer must be open for a minimum of **21 days**. AND
- Must state if it relates to all/part of the claim and whether it includes any counterclaim.

If the above criteria is not satisfied the offer will not amount to a Part 36 offer.

D must pay within 14 days of deemed service of notice.

VARIATIONS TO A PART 36 OFFER:

If accepted the offer, cannot withdraw If rejects the offer, offer remains open.	If offer not yet accepted: Before expiry of relevant period: Withdrawals need court's permission. Offeror may amend offer only if there is a change in circumstances or the interests of justice requires amendment: - If makes offer less advantageous to offeree, the offeror must serve a notice - If makes offer more advantageous to offeree, it will be treated as a new Part 36 offer with a new relevant period. Variation takes effect at end of relevant period. If offeree doesn't accept original offer, offeror must apply for court's permission to vary or withdraw within 7 days of notice of acceptance. After expiry of relevant period: Offeror can withdraw or amend at any time
--	---

CONSEQUENCES OF REJECTING A PART 36 OFFER:

Structure:

General rule on costs:

Unsuccessful party pays successful party's costs
If a Part 36 offer is rejected, court may penalize rejecting party.

Who is the offeror and the offeree?

Identify the correct heading to use based on who makes the offer (offeror) in your scenario.

Compare offer to trial award:

Identify if the trial award is same, more or less than the offer.
What is the offer amount and trial amount?

Eg. Offer = £3,000, Trial award = £5,000, thus final award at trial is more than the offer.

Claimant's offer:

Later the Claimant wins same or more at trial = **at least as advantageous award**

Later the Claimant wins less at trial = **less advantageous award**

Defendant's offer:

Later the Claimant wins same or less at trial = **same or less advantageous award**

Later the Claimant wins more = **more advantageous award**

Claimant's offer, Defendant rejects:

Claimant wins same or more at trial (at least as advantageous):

Eg: Claimant's offer = £3,000, Defendant rejects

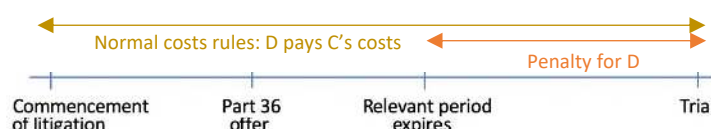
Later the Claimant wins £3,000 at trial OR they win more than £3,000 at trial

If the Claimant awarded same or more at trial than the offer, the Defendant will be punished as he was unreasonable to reject (now wasted time/costs).

Penalty for the Defendant for period between end of relevant period and trial.

D will pay:

- Damages + own costs
- Normal costs rules: the Defendant pays all of the Claimant's costs until trial.
- Penalty.** Court's discretion (can decide not to penalize if unjust)
Maximum penalty:
 - Indemnity on costs
 - Interest on sums awarded (max 10% interest rate)
 - Max 10% of damages awarded up to £75,000



Claimant wins less at trial (less advantageous):

Eg: Claimant's offer = £3,000, Defendant rejects

Later the Claimant wins £1,000 at trial

D was reasonable to reject the offer so no penalty.

D will pay:

- Damages + own costs
- Normal costs rules: the Defendant pays all of the Claimant's costs until trial.

Claimant loses:

The party losing the trial pays to the winner (normal rule).
The Defendant (winner) will get paid its costs by the Claimant (loser).

The Claimant will pay:

- Own costs
- Normal costs rules: the Claimant pays all of the Defendant's costs until trial.

Defendant's offer, Claimant rejects:

Claimant wins same or less at trial (same or less advantageous):

Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £3,000 at trial OR C wins less than £3,000 at trial

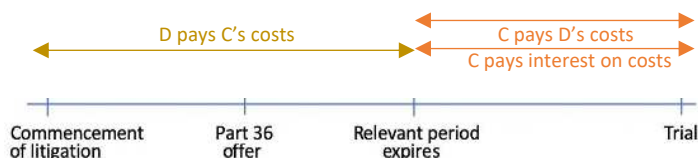
If Claimant awarded same or less at trial than the offer, the Claimant will be punished as they were unreasonable to reject (now wasted time/costs).

'Split costs' order:

1. Until relevant period expiry date: the Defendant pays the Claimant's costs
2. From relevant period expiry to trial date: the Claimant pays the Defendant's costs + interest on costs

The Claimant will get awarded damages but will pay:

1. Own costs
2. 'Split costs' order



Claimant wins more at trial (more advantageous):

Eg: Defendant's offer = £3,000, Claimant rejects
Later C wins £5,000 at trial

The Claimant was reasonable to reject the offer so no penalty.

The Defendant will pay:

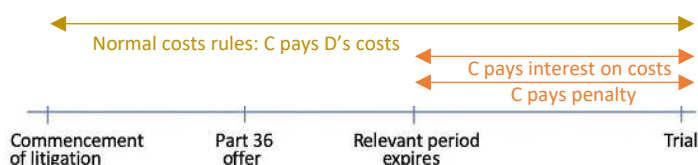
1. Damages + own costs
2. Normal costs rules: the Defendant pays all of the Claimant's costs until trial.

Claimant loses:

The Claimant was unreasonable to reject the offer.

The Claimant will pay:

1. Normal costs rules: the Claimant (unsuccessful party) pays the Defendant's costs.
2. From relevant period expiry to trial date: the Claimant pays interest on the Defendant's costs
3. **Penalty.** Court's discretion (can decide not to penalize if unjust)



INTERIM APPLICATIONS

INTRODUCTION:

Applicant = party making the interim application

Respondent = party against which the application is submitted

Interim applications may be made by either party to the court after commencing claim for court orders. – **so may be made by the Claimant or Defendant.**

CPR 1 The **overriding objective** dictates that costs are to be kept at a minimum. Therefore, prior to making any applications to the court, the parties should communicate and **attempt to resolve any questions** they may have between themselves.

Example:

When the Defendant files their Defence in response to the Particulars of Claim, it fails to correctly respond to the allegations in full and the Claimant struggles to understand it.

While a strike out application could be relevant, prior to making an application, the Claimant should reach out to the Defendant and request further information under CPR 18. If the Defendant fails to adequately respond, only then a strike out application should be considered.

PROCEDURE:

This is the procedure we use for interim applications except for summary judgments (which has its own procedure timeline), so do use these procedures for security for costs applications and all injunctions.

Interim applications may be made:

1. **'With notice'**: give notice of application to the other party or
2. **'Without notice'**: Respondent does not find out about the application until court makes decision

With notice or without notice?

When to make an application without notice?

- * Urgent matter – eg. **Freezing injunctions, or protecting confidential information from disclosure**
- * There must be good reasons for not giving notice: such as purpose of application is defeated by giving notice etc. freezing orders.
OR
- * There are exceptional circumstances

By not having notice of the application, the Respondent is essentially denied an opportunity to present opposing arguments or defend application.

Because of inherent unfairness, applicant's duty of full and frank disclosure of all material facts (Favourable or adverse)

With notice application procedure:

1. **Issue the following at court:**
 - **Application notice (N244)** with the fee
 - **Draft order**
 - **Evidence:**
 - a. Claim Form and statements of case.
 - b. For Interim Prohibitory injunctions only: Witness statement
 - **Skeleton arguments** (only if High Court)
2. **Applicant serves on Respondent:** all above docs
Min 3 days before hearing
(For Freezing Order: serve the bank and other 3rd parties first)
3. **Respondent serves:** Evidence in Response
ASAP = no time limit
4. **Applicant serves:** Evidence in Reply
ASAP = no time limit
5. **Both file:** Statements of Costs
Min 24 hours before hearing

For Freezing Orders:

The Respondent may make an application to vary before the on notice hearing or at the on notice hearing

Grounds for a discharge/variation:

1. The order should not have been made.
2. Respondent has provided the required security.

3. The applicant is guilty of non-disclosure.
4. There has been a procedural irregularity.

6. **Interim hearing**

7. **The order will be served** on the parties together with any relevant 3rd parties (for Freezing orders: serve on the banks and the applicant should go ahead and obtain a bank guarantee in support for the undertaking to pay damages)

Without notice application procedure:

1. **Issue at court:**

- * **N244 Application Notice**
- * **Draft Order:** that the applicant wishes the court would make
- * **Evidence:**
 - a. Claim Form
 - b. Full and frank disclosure
 - c. For Security for costs and IPI: Witness statement or Affidavit
- * **Statement of Costs**
- * **Claim Form**

In urgent cases, the application notice and evidence can be filed with the court on the same or next working day.

2. **'Without Notice' Hearing:**

If extreme urgency: telephone hearing.

3. **If granted, Applicant serves on Respondent:**

- * Claim Form
- * Application Notice
- * **Copy of Court Order**
- * Evidence in support of application
- * Statement of Costs
- * **Guarantee supporting undertaking in damages**
- * **Notice of without notice hearing with Respondent's right to appeal**

4. **'With notice' hearing: the court may maintain, discharge the order or make an order to pay damages**

Interim hearing costs order:

1. **Costs in any event:**
 - * Successful party in interim application recovers costs of interim application, regardless of who wins at trial. The costs recovered run from the date when interim application was issued up until the interim application hearing.
 - * If a costs in any event order is made, costs will be assessed summarily
2. **Costs in the case:**
 - * The party who gets his costs at trial will recover its costs of the interim application from the other party.
 - * **Interim hearing costs** = same as end of trial costs – Argue costs in the case if loses application or the judge criticises your case.
3. **No order as to costs:**
 - * Each party bears its own costs at the hearing.
 - * Awarded when the judge is critical of both parties.

SUMMARY JUDGMENT:

Summary judgment = court decides the claim or issue without a full trial.

SJ is brought for **weak cases** (no defence or no case), contrast this with Judgment in default where the basis is failure to comply with procedural rules.

When to apply?

If the Claimant applies:

After the Defendant served an Acknowledgement of Service or Defence up until the trial date, unless the court gives permission to make the application before then.

If the Defendant applies:

Anytime after the commencement of proceedings up until the trial date.

Grounds: *Take into account overriding objective*

1. Claimant/Defendant has no real prospect of succeeding on claim/issue
AND
2. No other compelling reason why case should be disposed of at trial:
Compelling reasons:
 - Disputed facts and needs time to investigate
 - Very complex case
 - Right to trial by jury
 - Needs to contact witnesses

Outcomes:

- Claimant obtains SJ – Judgment on claim/certain issue. General rule on costs at end of trial.
- Defendant obtains SJ – Dismissal on claim/certain issue = struck out
- Dismissal of SJ application – claim continues.
- Conditional order – claim may continue if conditions are met.

Procedure:

1. Issue the following at court:
 - Application notice (N244) with the fee
 - Draft order
 - Evidence (Witness statement)
2. Applicant serves on Respondent: all above docs
Min 14 days before hearing
3. Respondent serves: Evidence in Response
Min 7 days before the hearing
4. Applicant serves: Evidence in Reply
Min 3 days before the hearing
5. Both file: Statements of Costs
Min 24 hours before hearing
6. Interim hearing

SECURITY FOR COSTS:

Security for costs = Applications made by the **Defendant** if it has reason to believe that the Claimant does not have sufficient funds to meet the costs of the action should the claim be successfully defended (security for costs, but not damages).

Use a without notice application procedure.

Grounds: CPR 25.13

1. It is just to make an order, considering all the circumstances of the case:
Balances injustice to the Claimant (right of access to courts) and injustice to the Defendant (the need for financial security).

Factors when applying balancing act:

- (a) Respondent's claim = bona fide/not a sham
If respondent has reasonably good prospects of success or the Defendant has admitted liability = likely to be bona fide – eg. seeking payment of unpaid invoice = bona fide
- (b) D using application oppressively to stifle a genuine claim?
 - Claimant to prove stifling
 - Court may look at the financial resources of parties
 - Court considers if Respondent can raise money from other sources.

D is keen to avoid payment, whilst the Claimant appears to have a genuine claim and will potentially be unable to pursue that claim if security for costs is ordered.
- (c) Delay in making the application? Make the application asap. If delayed, reduction/refusal of security for costs.
- (d) Does the Respondent have financial difficulties because D's actions?

2. The Respondent is able to comply with an order for security for costs. – The court will not make an order in vain. If the Respondent cannot comply with the order, an order is unlikely.
3. The court will take into account the overriding objective, which sets out the need to deal with the case justly and at a proportionate cost to make the order.

AND

4. At least one condition evidencing the need for an order for security for costs apply.

These conditions are as follows:

1. The Claimant is a resident out of the jurisdiction but not in a state that is bound by the Hague Convention, and as a result, it would be difficult to enforce a judgment of the English courts if made against the Claimant.
2. The Claimant is a company and there is reason to believe it will be **unable to pay** the Defendant's costs if ordered to do so. – eg. Limited company and annual accounts or newspaper suggest financial difficulties.
D must prove company will not be able to pay not just that it may not be able to pay, however, a reason to believe is sufficient. This is assessed at the time of application but also considering future expectation.
3. The Claimant is a **nominal claimant** (acting on behalf of someone else) and there is reason to believe that they will be **unable to pay** the Defendant's costs if ordered to do so.
4. The Claimant has **changed their address** since the claim began, in the hope to evade a potential judgment.
5. The Claimant has **not provided their address on the Claim Form or provided an incorrect address.**
6. The Claimant has **taken some steps in relation to their assets** which make it difficult to enforce a potential costs order.

The court is not obliged to make an order, even if all the grounds are satisfied.

Awards:

Court's discretion whether or not it makes an order and must consider if Respondent realistically able to raise the amount.

Potential orders:

- Pay sum into court or give some other form of security
- Pay sum to applicant's solicitor
- Undertaking to pay D's costs if ordered to do so.

INTERIM PAYMENTS:

The Claimant may make an application for **an order requiring the Defendant to make a payment** to the Claimant in the interim, without a judgment made at trial. – CPR 25.6-25.9

This is typically made in relation to **personal injury claims** and requires the Defendant to make a payment in the interim to help the Claimants with their costs relating to their injuries so that they can continue with their treatment.

An interim payment must only be a **reasonable proportion of the whole amount** likely to be awarded at trial.

Grounds: CPR 25.7

- * The Defendant must have **admitted liability** in relation to the damages due to the Claimant or some other sum of money.
- * The Defendant has a **judgment entered against them** in favour of the Claimant for damages or a sum of money (except for costs) to be assessed.
OR
- * It is satisfied that, should the claim proceed to trial, **the Claimant would obtain a substantial amount of damages** from the Defendant – the Defendant may be the sole Defendant or one of a number of Defendants.

APPLICATION FOR SPECIFIC DISCLOSURE:

An order made when standard disclosure has not resulted in the **disclosure of a specific document** that is relevant to the case. – CPR 31.12

Grounds:

- The Applicant must show that it is necessary that the Respondent:
- * Discloses documents or classes of documents specified in the order.
 - * Carries out a search to the extent set out in the order.
OR
 - * Discloses any documents found

PRE-ACTION DISCLOSURE:

An order **made before the proceedings** have commenced to **obtain certain documents** or information from the prospective Defendant. – **CPR 31.16**

The test of pre-action disclosure:

- * The Applicant and Respondent are **prospective parties** to an anticipated claim.
- * Had the proceedings began, the Respondent **would have a duty under the test of standard disclosure to disclose** the documents or classes of documents sought by this application.
- AND
- * An order for **pre-action disclosure is necessary** to dispose of the anticipated proceedings fairly, to aid settlement or to otherwise save costs.

ORDER TO CALL A WITNESS TO GIVE EVIDENCE AT TRIAL:

An order **allowing a party to call a specific witness to give oral evidence at trial** where no witness statement or witness summary was served in relation to this specific witness within the prescribed time limits.

Factors the court will take into account: **CPR 32.10 Foster**

- * What is the reason why evidence was not produced and filed previously.
- * The significance of the evidence
- * The prejudice suffered by the Applicant if an order is not made.
- * The prejudice suffered by other parties if the order is made.
- * The need to be fair and just for all the parties by taking into account the overriding objective.

If a witness has not served their witness statement, the **automatic sanction** is that that witness will not be able to give oral evidence at court. As this is deemed to be a sanction, **the applicant must apply for relief from sanctions** prior to applying for an order to call the relevant witness to give evidence at trial.

INJUNCTIONS

Injunction = an order of the court requiring a party to do something or to refrain from doing something.

Breach of an injunction – contempt of court.

Injunctions can be obtained at any point during the proceedings.

Types of Injunctions:

1. **Mandatory injunctions:** requires the other side to do a specific act.
2. **Prohibitory injunctions:** requires the other side to refrain from doing an act.
3. **Quia timet injunctions:** no wrong is yet committed, merely threatened.

There must be a cause of action. – eg. **breach of contract**.

INTERIM MANDATORY INJUNCTION:

Test (high threshold) – will be granted if:

- * The Applicant will suffer serious harm if not granted
- * The Applicant is likely to succeed
- AND
- * The Respondent is not required to incur expenditure disproportionate to the Applicant's harm.

Damages must not be an adequate remedy:

- * The harm is not serious + not likely to continue (One-off)
- * The harm is not irreparable. – eg. **where privacy was breached**
- * The harm can be quantified in financial terms.
- * The Respondent can pay damages.

INTERIM PROHIBITORY INJUNCTIONS:

American Cyanamid Guidelines (court may depart from it) on **how the court's discretion should be exercised:**

1. **Serious question?**
2. **Damages are adequate remedy for party injured by not/granting?**
3. **Balance of convenience?**

Step 1: Is there a serious question to be tried?

The claim is not frivolous or vexatious + serious question to be tried, the claim must have substance. – **Yes, if clear breach. Clear terms, no valid defence.**

Step 2: Would damages be an adequate remedy for a party injured by the court's grant of, or failure to grant, an injunction?

Step 2(A): Damages for the applicant + Can the respondent actually pay?

If damages are not adequate or the respondent can't pay then the court is likely to grant an injunction.

From Applicant's perspective:

If the Confidential Information is disclosed so damages will be difficult to quantify = inadequate. Even if damages would (in theory) be adequate, Respondent is in financial trouble, damages not OK.

Step 2(B): Damages for the respondent + Can the applicant actually pay?

If the injunction were to be granted and it turns out that the injunction was wrongly granted, would the Respondent be adequately compensated under the Applicant's undertaking as to damages?

From Respondent's perspective:

Applicant is at an early stage of discussion with Respondent, so will not be unduly prejudiced. Even if it turns out that the injunction should not have been granted, Applicant is capable of paying damages.

Step 3: Where does the balance of convenience lie?

If both parties are large multinationals – injunction likely.

Contrast: one party is a small firm, business might go insolvent – not likely.

Factors:

1. Trial is due to be heard soon – likely.
2. Public interest in the injunction being granted or refused.
3. Will one party be disproportionately harmed if the injunction is or is not granted?
4. **Where evenly balanced, try to maintain the 'status quo' ante:** This will be the position before the conduct complained of.
5. **Consider the 'equity' of the situation.**
6. **If other factors appear to be evenly balanced – merits of the case, last resort without conducting a mini-trial.**

From Applicant's perspective:

Damage will be irreparable if the Confidential Information is disclosed. Applicant's future business will be severely hindered. Respondent could not meet any damages award.

From Respondent's perspective:

The respondent is not being asked to do anything which it shouldn't be doing, it signed the agreement and should comply with it. The respondent's deal with the Applicant is at a very early stage so no losses there and the Applicant can meet any undertaking in damages.

Conclusion: Balance is in the Applicant's favour.

If you reached a conclusion at this point, don't consider the points on Equity and discretionary remedy below.

Equity:

An injunction is an equitable remedy so all the equitable maxims will apply:

1. Court cannot enforce the order: **Keep open for trading = not enforceable.**
2. Must come with clean hands: **look at the Applicant's wrongdoing**
3. Has the Applicant delayed in bringing this application?
4. Equity will not act in vain. **Confidentiality has already been disclosed so why take further action?**

Discretionary remedy:

An injunction is a discretionary remedy. No right to an injunction.

FREEZING ORDERS (FREEZING INJUNCTIONS):

Freezing injunction is an IPI restraining a party from removing assets out of the jurisdiction, or from dealing with assets whether they are within the jurisdiction or not. This is to prevent assets being dissipated to hinder enforcement. **May award against 3rd parties** (to police the order) – eg. **order respondent's bank to stop respondent's access to their account.**

Effect of a freezing injunction:

1. All assets mentioned in the order are frozen (but would allow reasonable expenses per week)
2. The respondent (or anyone else with notice of the order) will be in contempt of court if it breaches its terms.
3. It will be in the applicant's best interest to press ahead with the action as his assets are frozen until proceedings.

A discretionary and equitable remedy and the usual equitable maxims apply.

Mareva Grounds for freezing injunction:

1. **Applicant has substantive cause of action justiciable in England and Wales.** High Court can grant interim relief in foreign jurisdiction cases. Here, an order is sought where there is no "related claim".
2. **Applicant has a good arguable case** = 50%+ chance of success.
3. **Assets within the jurisdiction** – UK Bank Account check if assets are still in the bank account.

AND

4. **Real risk of respondent dissipating assets to hinder enforcement.**

Factors – Evidence of the Respondent's:

- * Dishonesty – **transferring assets at an undervalue, directors' disqualification proceedings**
- * Debt default
- * Removing or disposing of assets
- * Residing in a tax haven
- * Assets kept in jurisdictions where English judgments not easily enforced

APPEALS

GENERAL PRINCIPLES:

There is **no automatic right of appeal**, and any party hoping to make an appeal must first ensure that they have **permission to make an appeal**.

Appeal the decision of a lower court where:

1. Decision was wrong
OR
2. Unjust because of a serious procedural or other irregularity

Court may order the appeal if:

Evidence could not be reasonably obtained in lower courts, evidence would have an important influence on result and is credible. Also consider the overriding objective.

The appeal hearing:

Review rather than re-hearing unless the court decides that a re-hearing would be in the interest of justice. – **CPR 52.21(1)**

Court reluctant to interfere with lower court's discretion, unless decision was based on error of law, evidence or facts.

Fresh evidence will not be allowed unless the appeal court orders it.

The **usual costs rules** apply in relation to the appeal hearing.

PERMISSION:

You need permission to appeal.

Applying for permission:

Such an application may be made:

- **Orally** to the lower court directly when the decision is made at the hearing.
OR
- Make the application **by filing an appellant's notice** with reasons to the appeal court within **21 days**.

Apart from appeals to Supreme Court, you have **21 days** from the original decision to appeal.

Test for granting permission:

- Appeal must have a real prospect of success
OR
- Some other compelling reason why appeal should be heard

Respondent's position:

Respondent's notice must be filed and served by a respondent who:

- Is seeking permission to appeal from appeal court
OR
- Asks appeal court to uphold lower court's order for different or additional reasons to those given by the lower court.

If no directions on time, file notice (using Form N162) within **14 days** after the date on which Respondent became aware that appeal was going ahead.

Where to apply for permission?

In general, an application for permission to appeal must be made to **the court that made the decision or the court you want to hear your appeal**.

APPLICATION FOR PERMISSION TO APPEAL:

In order to be able to appeal a court decision, **permission to make an appeal must be granted first**.

This is because there is **no automatic right of appeal**, and any party hoping to make an appeal must first ensure that they have **permission to make an appeal**.

Court may order the appeal if:

- * The appeal has a **real prospect of success** or there is some other **compelling reason** why the appeal should be allowed.
AND
- * The previous judgment/order was **wrong in fact/law** or in the exercise of discretion or was unjust as a result of a serious procedural or other irregularity.

When granting the order to allow an appeal to be made, this order may be subject to conditions.

WHO HEARS THE APPEAL?

Original hearing by	Appeal to
District Judge (County Court)	Circuit Judge (County Court)
Circuit Judge (County Court)	Master (High Court)
Master (High Court)	Judge (High Court)
Judge (High Court)	Lord Justice of Appeal (Court of Appeal)
Lord Justice of Appeal (Court of Appeal)	Justice of Supreme Court

A court lower than CoA may transfer first appeal directly to CoA in exceptional circumstances.

EFFECT OF AN APPEAL:

Initiating an appeal does not automatically stay the order obtained in the lower court.

The effect of the Appeal is to stay the lower court's order if:

- Lower court or appeal court so orders
OR
- The appeal is from the Asylum and Immigration Tribunal

APPEAL HEARINGS:

Composition of the court:

- * One judge (either CC Circuit Judge or HC Judge)
- * In the Court of Appeal: 2 Lords Justice sit on interim appeals + 3 on final appeals
- * In the Supreme Court: 5-member courts.

Appeal court has the same powers as lower court.
Second appeals will be heard by the Court of Appeal.

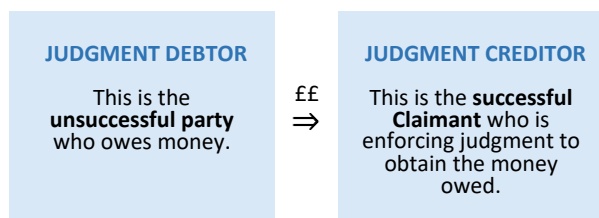
ENFORCEMENT

INTRODUCTION:

At the trial, a judgment is made against the losing party, and this includes **orders to pay** the opposing party's legal fees and compensation, if necessary.

Any judgment/order will be enforceable for **6 years** from the date of the judgment/order.

Courts **do not enforce** judgments **automatically** when the debtor fails to pay. – the judgment creditor will need to **commence enforcement proceedings**.



Interest on the debt:

The interest will be **8% per annum**, unless the court decides otherwise. Interest will typically **accrue from the date of the judgment/order**. This will depend on what is stated in the order.

For County Court judgments:

1. Judgments for £5,000 or more will be subject to interest.
2. Judgments relating to a qualifying debt under the Late Payment of Commercial Debts (Interest) Act 1998 are also subject to interest.

For High Court judgments:

All judgments will be subject to interest.

INVESTIGATING THE DEBTOR'S MEANS:

Before the Claimant commences proceedings for enforcement, they should **obtain as much information** as possible as to the reasons why the debtor failed to pay the debt, their circumstances, and assets and where these are located.

The debtor's means could be investigated by:

- Asking the debtor themselves
- Instructing an enquiry/tracing agent
- Carrying out a Companies House search
- Obtaining Official Copies from Land Registry (are they the sole owner of the property or is the property jointly owned?)

If little knowledge about the debtor and their assets:

Apply without notice for **Order to Obtain information** from judgment debtor about its assets.

ENFORCEMENT METHODS:

Exam structure:

1. Make a list of all the assets in your scenario.
2. Identify which assets are **not** possible to enforce the judgment against.
3. Select the most appropriate order for the remaining assets.

Key methods of enforcement:

1. Taking control of goods order – **use this for goods/vehicle**.
2. Third party debt orders – **use this in relation to credit in the bank account**.
3. Charging orders – **use this in relation to land or certain securities**.
4. Attachment of earnings order – **use this in relation to salary**.
5. Insolvency proceedings – **use if there is no other option**.

May use more than one of the below methods.

Taking control of goods order:

Enforcement officer can legally **seize the debtor's goods and assets** and sell them to pay the judgment debt.

Please do not confuse this with goods being sold by businesses, this order can be used to seize any items that the debtor may have with a few exceptions.

Use this method if the debtor actually owns the goods/assets themselves. Goods **may be taken** even if the judgment debtor **owns the goods jointly** with someone else. – **Farrar v Beswick**

Goods that are exempt from seizure:

- * **Tools and necessary items** for the debtor's job, trade, profession or study up to £1,350 in aggregate value.
- * Basic **domestic items**. – eg. clothes, books, telephones, bedding, furniture.

Additional considerations:

- * If the resale **value of goods** is enough to cover the judgment debt, it may not be.
- * If the market is going well, bad **market conditions** will make it more difficult to sell the goods and to receive fair value for them.

Cannot use TCG against a third party so check any third party claims (owners, co-owners, secured creditors) – eg. **if judgment debtor uses a car owned by a company. Always check who owns the goods.**

Outstanding debt amount	County Court or High Court?
Up to £600	Only County Court
Between £600 and £5,000	High Court or County Court
More than £5,000	High Court

High Court Procedure:

- * Obtain a **writ of control** to be able to seize the debtor's assets.
- * File a **Request for issue of the writ** using Form PF 86A together with the relevant court fee.
- * With the form, also file a draft writ of control which the court may edit before issuing it.
- * The writ can only be enforced by an **enforcement officer**.

County Court Procedure:

- * Obtain a **warrant of control** to be able to seize the debtor's assets.
- * File a **Request for a warrant of control** in the hearing centre where the judgment was obtained together with the relevant court fee.

Third party debt orders:

CPR 72 If the judgment debtor is owed money by third party, a third-party debt order can be made so that this third party pays the debt directly to the judgment creditor.

Must be debt due or accruing due. – eg. **trade debts, credit in bank account, but do not use for overdrafts**.

Charging orders:

Do not use this method if the land or assets that are subject to mortgages or charges are jointly owned. If co-owned, it is difficult to obtain Order for Sale.

If there is a charge on property, bank must be paid off first, then obtain Order for Sale. This is expensive and time-consuming.

Attachment of earnings order:

This order ensures that a **proportion of the debtor's salary** is deducted by the employer and paid towards the debt.

This order **cannot** be made against someone who is self-employed.

Only available in **County Court**.

Must transfer judgment to County Court, then apply for Attachment of Earnings Order. Use against an individual (not company) where the person lacks assets but earns a salary.

Insolvency proceedings:

Insolvency proceedings should always be the creditor's **last option**.

For individuals:

Must owe creditor more than £5,000 – bankruptcy petition

For companies:

Must owe creditor more than £750 – winding-up petition